

WFP

World Food Programme

SAVING LIVES
CHANGING LIVES

Market Functionality Index: Baseline Survey

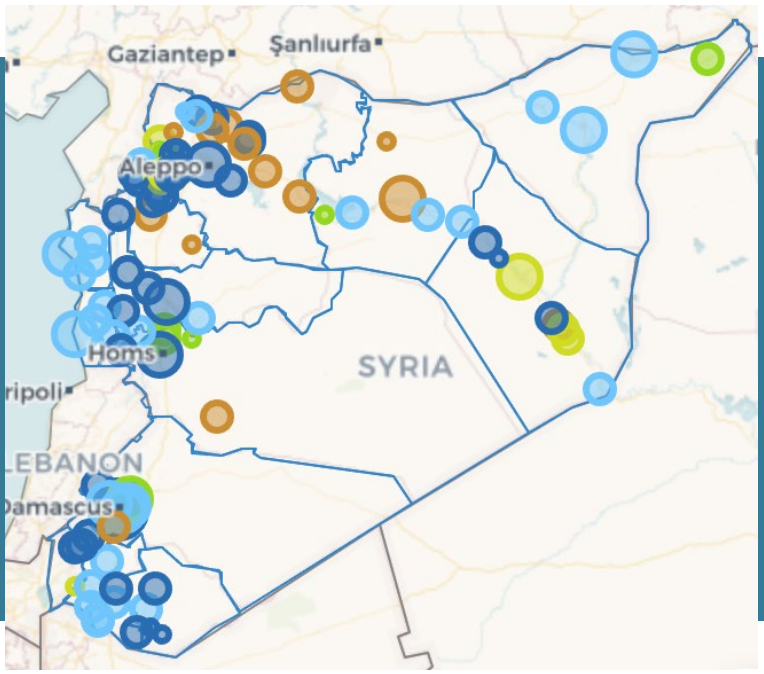
JANUARY 2025

WFP-SYRIA

RESEARCH ASSESSMENT AND MONITORING

KEY FINDINGS

- **Overall Market Functionality Index (MFI = 6.5): Moderately High.** While markets score relatively well on assortment, availability, and resilience, the MFI is weighed down by consistently low scores in the price dimension across all governorates.
- **Central and southern regions of Syria** exhibit relatively stronger market functionality, with higher scores for availability, assortment and resilience.
- **Northeastern region** faces challenges with higher prices, lower availability, and weaker overall functionality - likely due to supply chain disruptions and instability.
- **In central and western regions** prices are relatively more stable, whereas **Aleppo and northeastern** markets experience significantly higher prices, reducing access to goods.
- **Across all regions,** markets demonstrate strong resilience, reflecting an ability to adapt to economic and supply chain shocks.



MARKET FUNCTIONALITY

The colors on the map represent the level of market functionality based on the MFI score between the corresponding brackets

- Very high (7-10)
- High (6-7)
- Medium to high (5-6)
- Medium to low (4-5)
- Low (3-4)
- Very low (0-3)

Dimension	Aleppo	Al-Hasakeh	Ar-Raqqa	As-Sweida	Damascus	Dar'a	Deir-ez-Zor	Hama	Homs	Idleb	Lattakia	Quneitra	Rural Damascus	Tartous	Overall
A. Assortment	10.0	6.9	9.0	8.1	9.6	7.8	10.0	9.8	9.3	9.8	6.3	9.6	8.9	8.1	8.9
B. Availability	9.1	7.7	10.0	10.0	8.9	10.0	10.0	9.2	6.0	9.6	10.0	9.4	9.8	10.0	9.3
C. Price	1.8	5.0	3.0	5.6		5.3	2.9	7.0	8.8	4.4	5.0	3.6	4.4	5.0	4.5
D. Resilience	10.0	10.0	9.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	9.5	10.0	9.9
X. Final Score	5.0	6.2	5.6	7.2	9.2	7.0	5.8	8.0	7.4	6.7	6.6	6.1	6.5	6.9	6.5



Market Functionality Index (MFI)

The MFI is WFP's standardized market assessment approach that quantifies how well a market functions by assigning a score per marketplace. It also identifies weaknesses or areas requiring intervention to ensure continuity and effectiveness of assistance.

SURVEY

The methodology relies on a streamlined survey with questions grouped under five key dimensions critical for evaluating market functionality: Assortment, Availability, Price, and Resilience of Supply Chains.

SCORING

Markets are scored on a global scale from 0 to 10, allowing for comparability across contexts. A perfect score (MFI=10) indicates a fully functional, efficient and developed market – though this level is not typically expected in WFP operational contexts.

WEIGHTING

The MFI considers three basic commodities: cereals, Non-cereal food items, and Non-Food Items. Cereals are weighted more heavily, meaning their performance (in terms of assortment, availability, etc.) influences the final score more significantly than the other categories.

DATA COLLECTION

In January 2025, 101 trained enumerators conducted a reduced MFI survey across 1,134 shops covering 86 markets in 14 governorates in Syria.

Due to concerns over the quality of price-related data collected in Damascus this component was excluded from the analysis.

Consequently, this report presents findings for assortment, availability, and supply chain resilience across all 14 governorates, while price analysis is limited to 13 governorates.

ASSORTMENT

The assessment of assortment answers two key questions:

1. **Can beneficiaries find all of their essential needs in the market?**
2. **Do they have a wide range of choice?**

'Essential needs' refer to items necessary to meet the minimum living standards – such as food, shelter, basic household goods, safe drinking water, sanitation and hygiene items, and healthcare.

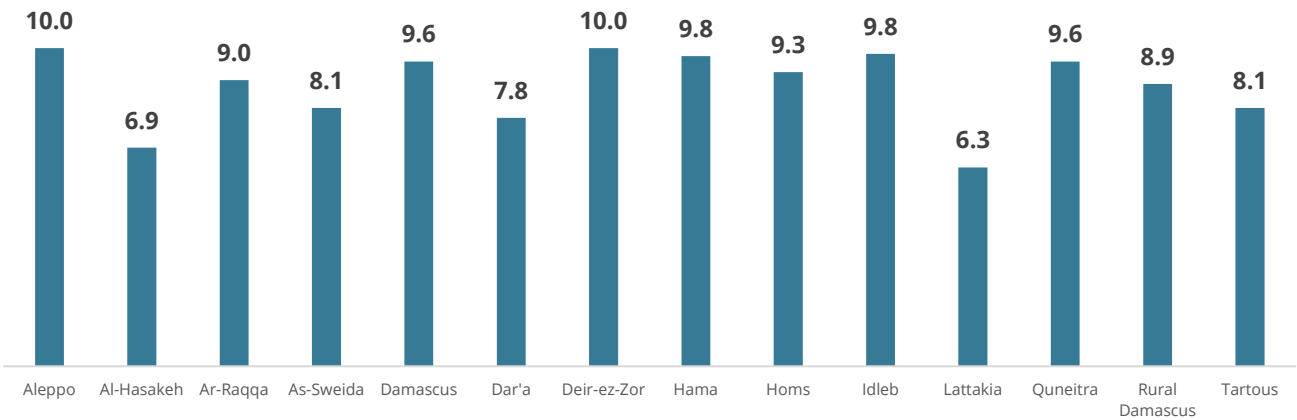
To evaluate the range of choice, the MFI measures the maximum number of different commodities, or Stock Keeping Units (SKUs) available across market outlets.

KEY FINDINGS

The Assortment dimension in Syria's Market Functionality Index (MFI) scored 8.9 out of 10, reflecting a high level of product diversity across markets.

This strong score suggests a generally well-functioning supply chain, with markets remaining well-stocked despite ongoing economic and logistical challenges. Both essential and non-essential goods are widely available in most regions. However, Dar'a, Al-Hasakeh and Lattakia recorded the lowest scores, largely due to the limited variety of the non-food items (NFIs) in those areas.

SCORE BY REGION



AVAILABILITY

Availability refers to the physical presence of goods in sufficient quantities, indicating adequate supply in a functioning market. It addresses two key questions:

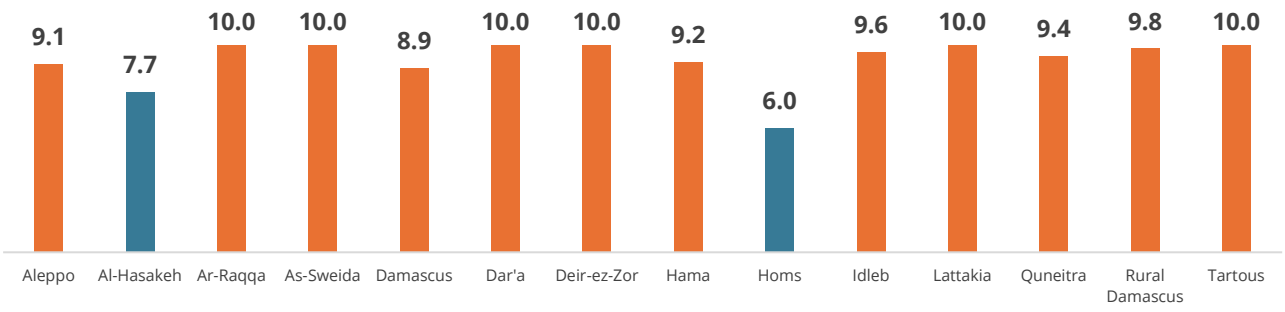
1. **Are any essential products currently scarce?**
2. **Are any essential products at risk of running out?**

Availability is used to assess whether certain goods are already scarce or likely to become scarce in the short term.

KEY FINDINGS

- The findings indicate strong availability across key categories: cereal food, other food (excluding cereals) and non-food items. Retailers reported high stock levels, scoring 9 out of 10, suggesting that goods are readily available with no significant shortages.
- When asked about the likelihood of running out of stock within a week, most retailers expressed minimal concern, reflecting confidence in supply stability. This points to an efficiently functioning supply chain that supports a steady flow of essential goods.
- With the exception of Homs and Al-Hasakeh, retailers across regions reported stable inventory levels and no immediate fears of shortages, highlighting a resilient market with consistent product availability.

SCORE BY REGION



PRICE

Affordable, stable and predictable prices are key characteristics of functioning markets. The price dimensions addresses two main questions:

1. **Have there been significant price increases in the past month?**
2. **Are prices predictable, or are they subject to unexpected variations?**

The dimension assesses both the stability of prices and the nature of any changes. The focus is on unpredictability, rather than variability itself. In contexts with seasonal fluctuations, price volatility can still be anticipated and managed, posing less risk to market actors who are prepared to adapt.

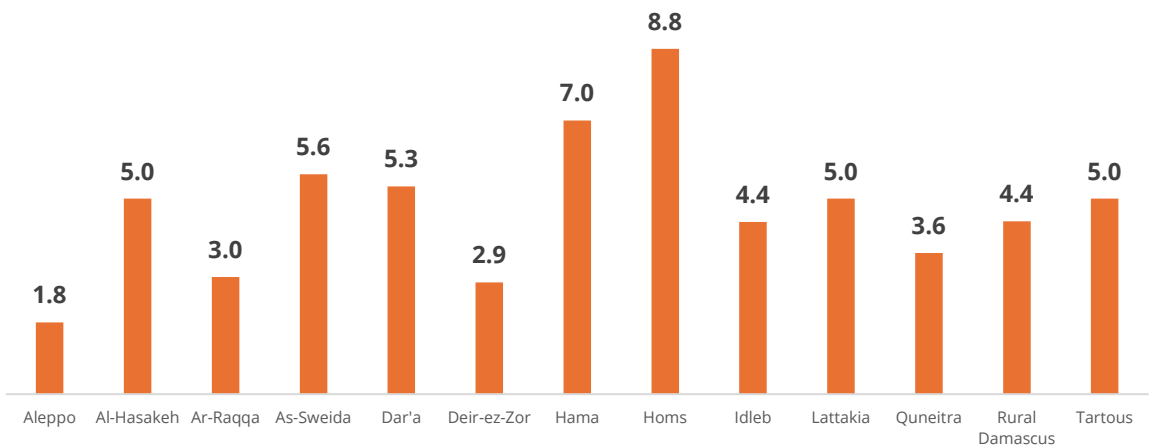
KEY FINDINGS

The overall Price Index score of 4.7 indicates significant pricing challenges across markets in December 2024. The decline in the index was largely driven by widespread reports of price volatility. Notably, several governorates also experienced substantial price increases during the month.

Unpredictable prices emerged as a major concern across all governorates. In 6 out of 14 governorates, all surveyed shops reported price unpredictability. This volatility undermines market confidence and poses risks to consumer affordability and business planning.

It also hampers short-term price forecasting due to unstable supply, shifting demand and external economic factors.

SCORE BY REGION



SUPPLY CHAIN RESILIENCE

The resilience dimension evaluates how responsive supply chains are to demand shocks and how vulnerable they are to disruptions. It focuses on two key questions:

1. **How responsive are supply chains to changes in demand?**
2. **How vulnerable is the Supply Chain?**

Responsiveness of supply chains is measured by stock levels and lead times. Shorter lead times enables traders to respond more quickly to demand shifts and anticipate upstream disruptions, though they are often associated with lower stock levels.

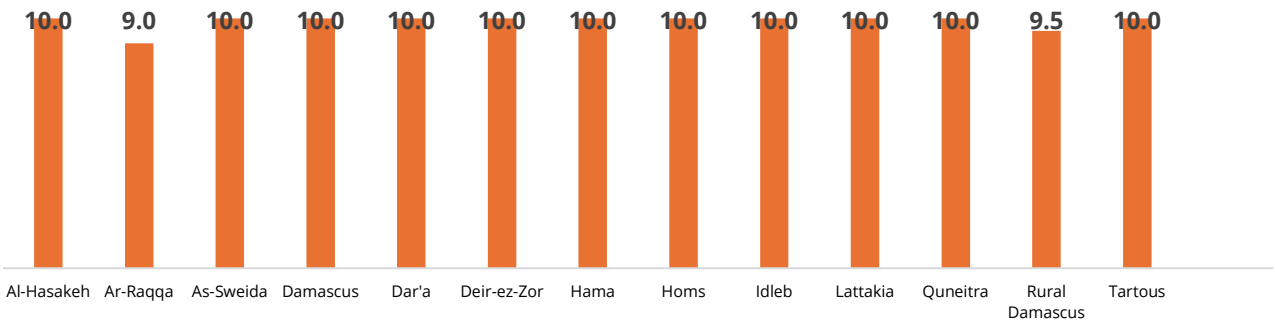
The MFI assesses the adequacy of buffer stocks (e.g. stock levels sufficient for at least 1 week) and the capacity to restock swiftly.

It also considers the number and geographic spread of suppliers – supply chains are more resilient when they have multiple sources, diverse sources.

KEY FINDINGS

Supply chains were reported to be strongly resilient across all governorates. This is reflected in the adequate stock levels of cereals, non-cereals, and NFIs, as well as the short lead times expected for restocking. These factors indicate strong capacity to meet demand and confidence in the system's ability to adapt to unexpected shocks or fluctuations.

SCORE BY REGION



MAIN RECOMMENDATIONS



- Price uncertainty, driven by the free-market policy and fluctuating exchange rate, necessitates close monitoring of price trends and the development of mitigation strategies, including transfer value adjustments where needed.
- Value vouchers remain the most suitable modality of assistance, given the strong product assortment and sufficient trader stock in most markets. However, retailers' reimbursement remains a key challenges given the shortage of cash liquidity in the country.
- Regular monitoring of market functionality is essential to inform programme planning and implementation.
- In governorates with lower MFI scores - such as Dar'a, Al-Hasakeh, Lattakia, and Homs - market monitoring should be strengthened.

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